

Observe that at any stage, the size of the winning bet exceeds the combined losses of all the previous trades, and the difference is the size of the initial bet.

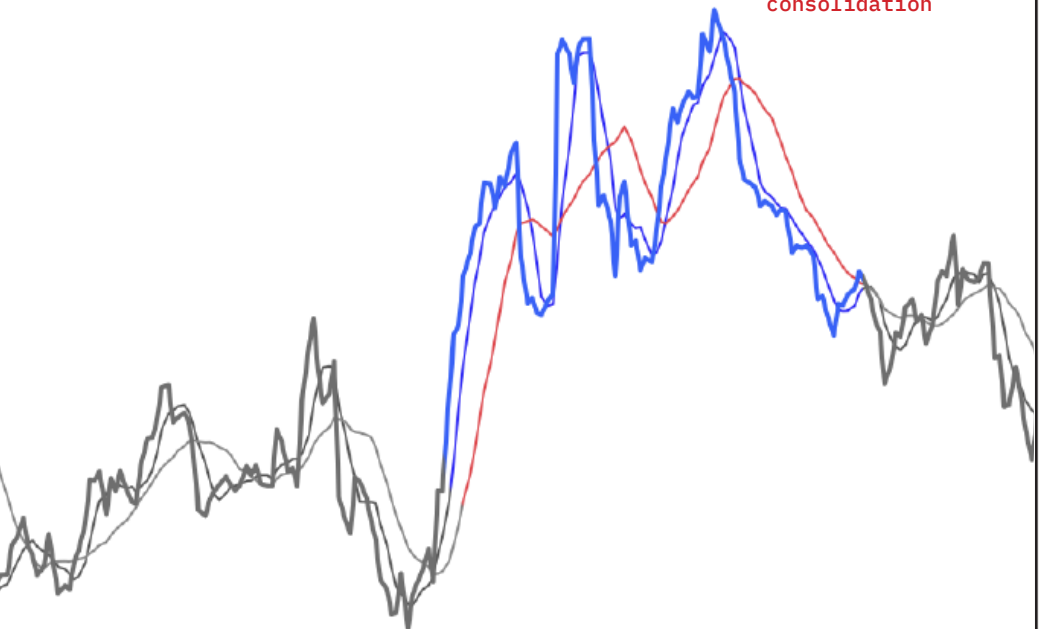
THE STRATEGY

The objective of this strategy is to take entries on mean reversion points using the 5 & 14 Exponential Moving Averages. The mean reversion method proposes that, after a rally or a fall, the market reverses to its average price, which is considered to be a fair value.

SMA 14 close 0 SMA 5 1645.18

SMA 5 close 0 SMA 5 1619.18

Rally then again
consolidation



If the moving average price is ₹100 and the price moves away to ₹108. According to the tendency, the price will reverse back to the average. I.e. ₹100. As a trader, I would wait for the price to move away from its average and then return. Since, the discovery of technical analysis, reversal traders have been the best trades in terms of risk to reward ratio.

The strategy involves selling at the bearish reversal and buying at the bullish reversal. This is a scalping strategy and the suggested timeframe is 1-minute.

